Revived diplomatic efforts around the Middle East lift market sentiment, but French spreads still widened beyond 150bp. Fiscal concerns and public unrest clearly weigh on French government bonds (OATs), but more is at play



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Risk sentiment was more upbeat after headlines suggesting a revival of diplomatic efforts to end the Middle East conflict. Energy prices retreated from their recent highs, stocks advanced, and yields edged lower. Still, markets have learnt to treat such headlines with a healthy dose of scepticism.

Within the European government bond space, a tentative stabilisation of spreads over Bunds mirrored the improved sentiment. However, France continues to be singled out, with the 10y spread pushing past 150bp. We had cautioned that the public

unrest was adding to concerns around France's ability to consolidate its finances. The unrest also adds very direct costs in terms of lost GDP, as our economist warns.

Back during the days of the sovereign debt crisis, the French spread versus Germany peaked at just below 200bp. But bear in mind, this was when Italian spreads pushed past 500bp and markets were contemplating the tail risk of a collapsing monetary union, i.e., redenomination risk.

To add some perspective, a 10y spread of close to 200bp in late 2011 meant that French bonds yielded more than twice as much as G

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Wednesday's events and market view

Following the UK CPI release in the morning, it will be a quiet day in terms of data. The main focus will be the public appearances of BoE Governor Bailey and ECB President Lagarde.

In the primary government bond markets, the US will auction 20y bonds (US$13bn). The European primary is quiet. Italy's two retail BTP Valore bonds are still open for subscription through the week.

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